

peculiarly those in the...
ble indexation benefits- and
short-term debt funds, may be
the worst affected.

Assume you had invested in a double-indexation FMP on 25 March 2014, just before the financial year ended, and one that offers a yield of 9.50%. Say, that the FMP will mature on 5 April 2015. Double indexation is an accounting standard whereby the cost price of your

directly. We would also see investors moving into open-ended short-term funds as an alternate to FMPs as these offer active management," said R. Sivakumar, head, fixed income, Axis Asset Management Co. Ltd.

A fund manager of a foreign fund house said that "one must remember that tax rates are valid from budget to budget. The

vestment...
However, Manoj Nagpal, chief executive officer, Outlook Asia Capital, a Mumbai-based wealth management firm, said that the removal tax arbitrage wasn't the only problem. "The main problem is that the change in taxation is happening mid-way. Those who had invested recently based on a certain premise, will have to do a

Focus on infrastructure; but n

GROWTH PATH

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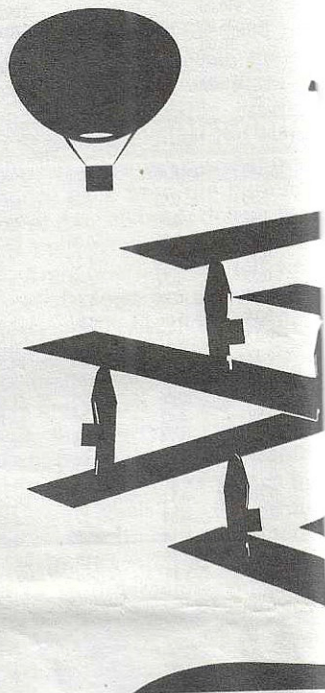
By adhering to a fiscal deficit target of 4.1% of gross domestic product (GDP), Union Budget 2014 reinforced the government's commitment to fiscal consolidation. Not only does the current year's target exhibit the commitment to fiscal prudence, but also indicates towards the roadmap to reach a fiscal deficit of 3% of GDP by FY17. This budget may be viewed as a manifestation of the government's vision to take India back to a path of high, inclusive and sustainable growth by addressing key issues such as infrastructure growth, investment in skill development, growth for various segments of society and states, and price instability in agriculture. Many problem areas have been covered and one could argue that we are spreading ourselves too thin or that there will be execution challenges.

For an infrastructure deficit economy, this budget paid due attention to the sector. By exempting long-term funds raised by banks to extend credit to this sector, the finance minister has incentivized infrastructure investment. The plans to set up 16 new ports, new airports in tier 1 and 2 cities, doubling the gas pipeline spread in the country by 15,000 km, linking rivers to develop inland waterways, additional support to build 8,500 km of national highways, allocating ₹30,000 crore to rural infrastructure fund and ₹7,000 crore to create 100 smart cities—all these highlight the government's intent to push infrastructure growth. The key here is getting the public private partnership (PPP) model to work well so that these projects can be delivered.

The focus on "re-skilling India" is evident from the announcement about setting up new education institutes, such as four new All India Institutes of Medical Sciences (AIIMS), five new Indian Institutes of Technology and the same number of Indian Institutes of Management. These will be critical to ensure that our demographic dividend gets realized by imparting high quality higher education. The finance minister also allocated ₹28,600 crore to the primary education programme of Sarva Shiksha Abhiyan. Another ₹200 crore has been allocated

towards new agriculture and enhance agricultural productivity in developed economies.

On the inflation front, as reported, ₹500 crore was set aside for the creation of a national process of re-orienting the APMC (Agriculture Produce Marketing Committee) Act for various states. With the objective of promoting growth, ₹500 crore has been set aside, while ₹500 crore has been set aside, while to farmers through 'Kisan TV' was promised in the manifesto of the maiden Budget. The thrust on promoting and encouraging the growth of MSMEs is also in line with the government's focus up to the elections.



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which significantly lags that of

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s states also found mention.
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providing real time information
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An area where the budget perhaps did not place enough em-
phasis was on lowering India's inflation through supply side
steps.

While the government has announced a ₹500 crore price sta-
bilization fund for food items and an allocation of ₹5,000 crore
towards adding to the warehousing capacity to increase shelf
life of agricultural produce, steps towards streamlining the in-
efficient supply chain, which is primarily responsible for our
persistently high food inflation, were not evident.

Similarly, while the finance minister mentioned that he
would work towards creating national common farm markets,
concrete steps towards this goal were missing in the speech. Of
course, it is likely that these issues will be dealt with subse-
quently as there was very little time to prepare this budget.

The increase in limits of investment under section 80C by
₹50,000 and raising the tax exemption limit by the same
amount is expected to increase financial savings, which is
needed to fund more investment. A fall in inflation will also
help grow financial savings.

By increasing the foreign direct investment limits in the in-
surance and defence sectors from 26% to 49%, the government
has exhibited its intent to encourage foreign capital inflows.
The announcement to extend the withholding tax at 5% till
June 2017 and allowing international settlement of all Indian
debt securities reinforces that thought.

Finally, the government deserves credit for taking some
strong steps on reforming our tax structure and making our fi-
nancial sector more robust.

The most positive statement in this regard was that there will
be a final solution to the Goods and Services Tax (GST) in fi-
nancial year 2015. This will be a significant achievement on a
long pending and critical structural tax reform in our country.

The government also extended the 5% tax withholding on all
Indian bonds for two more years to encourage further foreign
institutional investor participation in our bond markets. A
number of administrative reforms and steps to build investor
confidence in our economy were evident in the budget.

Put together in a short period, the budget was the first step
towards setting priorities and direction. It was also a reflection
of the government's intent to put India back on a strong, sus-
tainable and inclusive growth path.

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that would fit his personal situation, and we advise you to work with a certified financial planner before you buy a financial product.